Mark Scheme (Results)

Predicted Paper

Pearson Edexcel Level 3 Advanced GCE

in Economics B (9EB0)

Paper 02: Competing in the global economy

HARD DIFFICULTY

General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Section A

Question 1(a)

Knowledge/understanding 1, Application 3

Knowledge/understanding: 1 mark for formula: Current account balance = (Trade in goods + Trade in services + Primary income + Secondary income) balances (1).

Application: up to 3 marks: Trade in goods: 400,320 − 559,810 = −159,490; Trade in services: 470,210 − 292,540 = +177,670; Primary income: 251,680 − 263,450 = −11,770; Secondary income: 29,140 − 56,820 = −27,680; Current account balance = −£21,270m (1 mark per correctly calculated component up to 3 marks).

NB: *If no working is shown: award 4 marks for −£21,270m, 3 marks for −£21,270 without units; zero if the answer is positive.*

(4 marks)

Question 1(b)

Knowledge/understanding 1, Application 2, Analysis 1

Knowledge/understanding: 1 mark for understanding that a stronger pound makes sterling-denominated exports more expensive in dollar terms, OR that dollar revenues convert to fewer pounds (1).

Application: up to 2 marks — e.g. sterling appreciated by 8% against the US dollar in H1 2024 (1); around 75% of JCB's production is exported (1).

Analysis: 1 mark for developing the logic — e.g. if JCB maintains dollar prices its pound revenues fall; if it raises dollar prices volumes fall as customers switch to Japanese/Korean competitors; either way export revenue in sterling declines (1).

(4 marks)

Question 1(c)

Knowledge/understanding 1, Application 2, Analysis 1

Knowledge/understanding: 1 mark for identifying a reason the UK current account is in deficit, e.g. a large deficit on trade in goods outweighs surpluses elsewhere (1).

Application: up to 2 marks using Extract A data — e.g. goods deficit of −£159,490m (1); services surplus of +£177,670m only marginally offsets the goods deficit, with additional deficits on primary and secondary income (1).

Analysis: 1 mark for developing the reasoning — e.g. the UK's structural reliance on imported manufactured goods and consumer goods, combined with net outflows of investment income and transfers abroad, produces an overall current-account deficit (1).

(4 marks)

Question 1(d)

Knowledge/understanding 2, Application 2, Analysis 2

Knowledge/understanding: up to 2 marks — e.g. overseas production avoids exchange-rate risk as costs and revenues occur in the same currency (1); locating production in target markets reduces tariff and transport costs (1).

Application: up to 2 marks — e.g. US plant near Savannah, Georgia, serves North American customers in dollars (1); India plant serves rapidly growing Indian demand (1).

Analysis: up to 2 marks — e.g. reduces reported volatility in sterling profits (1); allows JCB to remain price-competitive against Japanese and Korean rivals that may already have local production (1).

(6 marks)

Question 1(e)

Knowledge/understanding 2, Application 2, Analysis 2, Evaluation 2

Candidates should draw an AD/AS diagram showing a leftward shift in AD following a fall in net exports.

- Stronger pound: exports become more expensive in foreign-currency terms; imports become cheaper in sterling terms.
- X falls and M rises, so net exports (X − M) fall; AD = C + I + G + (X − M) therefore shifts left.
- Real output falls from Y to Y_1; price level falls from P to P_1; lower inflationary pressure.
- Potential rise in demand-deficient unemployment, particularly in export-heavy manufacturing (e.g. JCB).
- Cheaper imports may lower input costs for UK firms — partially offsetting the contraction (positive supply-side impact).
- Evaluation — Marshall-Lerner condition: net exports fall only if combined PEDs of exports and imports exceed 1.
- Evaluation — J-curve effect: short-term worsening of trade balance before improvement.
- Evaluation — depends on the UK's spare capacity, elasticity of AS and the size of the appreciation.

Level	Mark	Descriptor
0	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6–8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

> ***Demonstrating application (AO2):*** *Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus; in addition, they may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus. Where questions do not specifically stipulate the use of data or information provided in a stimulus, students must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question.*

Question 1(f)

Knowledge/understanding 2, Application 2, Analysis 3, Evaluation 3

- Natural hedging matches the currency of costs with the currency of revenues, reducing exchange-rate risk.
- Locating production near customers cuts transport costs, lead times, and tariffs.
- Access to growing markets: India is a fast-growing construction market with rising infrastructure spending.
- May benefit from local government incentives and lower labour costs (especially in India).
- Reduces dependency on a single production base — resilience against future UK-specific shocks.
- Evaluation — heavy upfront capital investment; long payback period.
- Evaluation — potential loss of UK manufacturing jobs: reputational risk for a 'British' family firm.
- Evaluation — quality control across multiple sites is harder; risk of lower productivity initially at new plants.
- Evaluation — risk of political instability or policy change in host countries (e.g. future US or Indian tariffs).
- Evaluation — long-run effectiveness depends on whether sterling remains volatile; if it weakens, domestic production regains its advantage.

Level	Mark	Descriptor
0	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–4	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	5–7	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, well developed with arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	8–10	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2): *Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus; in addition, they may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus. Where questions do not specifically stipulate the use of data or information provided in a stimulus, students must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question.*

Question 1(g)

Knowledge/understanding 2, Application 2, Analysis 4, Evaluation 4

- Tax incentives (business rate relief, NI holiday, enhanced capital allowances) lower firms' operating costs, encouraging investment.
- £1.4bn of projected private-sector investment creates direct construction and operational jobs.
- Target of 18,000 new jobs raises local employment and household incomes.
- Multiplier effect: wages spent locally generate further induced consumption, expanding local GDP.
- Specific strategic investments — £1bn green-hydrogen project, offshore wind manufacturing — create high-productivity, skilled jobs.

- Agglomeration effects: once an industrial cluster forms, supplier firms and skilled labour are attracted to the area.
- Improvements in infrastructure and skills may have permanent benefits beyond the freeport's lifetime.
- Evaluation — displacement: activity may simply relocate from other UK regions (zero-sum at national level).
- Evaluation — £50m annual tax relief is an opportunity cost for the Treasury (could fund public services).
- Evaluation — deadweight loss: tax relief may go to firms that would have invested anyway.
- Evaluation — benefits may accrue to non-local workers who commute in; local multiplier could be smaller than projected.
- Evaluation — environmental and planning concerns may slow some investments.
- Evaluation — depends on whether '18,000 jobs by 2030' is realistic given historical performance of similar schemes.

Level	Mark	Descriptor
0	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, well developed with arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

> ***Demonstrating application (AO2):*** *Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus; in addition, they may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus. Where questions do not specifically stipulate the use of data or information provided in a stimulus, students must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question.*

Question 1(h)

Knowledge/understanding 2, Application 2, Analysis 4, Evaluation 4

- Monetary policy involves changes to interest rates, QE, or exchange-rate targeting by the Bank of England.
- Raising interest rates reduces AD and demand for imports — narrowing the deficit (in 2023 the UK current account was c. −£21bn, Extract A).
- Lower interest rates may depreciate sterling, boosting export competitiveness.
- A weaker pound raises export volumes and makes imports more expensive, improving the trade balance if Marshall-Lerner holds.
- Quantitative easing can depress the exchange rate, benefiting net exports.
- Evaluation — higher interest rates attract hot-money inflows, appreciating sterling and worsening the deficit.
- Evaluation — PED of UK exports/imports may be inelastic in the short run (J-curve).

- Evaluation — the BoE's independent mandate targets 2% inflation, not the current account — using rates to correct the deficit risks conflicts.
- Evaluation — much of the UK's goods deficit reflects structural factors (loss of manufacturing base, demand for foreign consumer goods) that monetary policy cannot address.
- Evaluation — supply-side policies (productivity, skills, infrastructure — see Extract C) may be more effective long-term.
- Evaluation — fiscal policy (e.g. higher taxes reducing import demand) could also narrow the deficit but with costs to growth.
- Evaluation — the services surplus (£177,670m in Extract A) is already large; expanding it may be easier than shrinking the goods deficit through monetary policy alone.

Level	Mark	Descriptor
0	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, well developed with arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2): *Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus; in addition, they may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus. Where questions do not specifically stipulate the use of data or information provided in a stimulus, students must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question.*

Section B

Question 2

Knowledge/understanding 4, Application 4, Analysis 6, Evaluation 6

- Economic development is multi-dimensional: income, health, education, inequality, sustainability, freedoms.
- GINI coefficient measures income inequality: 0 = perfect equality, 1 = perfect inequality.
- Botswana has a high GINI (0.53) despite middling HDI (0.708), suggesting that aggregate development figures mask deep inequality.
- Saudi Arabia has a high HDI (0.875) but high GINI (0.45) and extreme CO_2 per capita (17.9t) — income growth without balanced development.
- Norway's low GINI (0.28) combined with highest HDI (0.966) suggests that equitable distribution supports broad-based development.
- High inequality limits access to education and healthcare for the poor, reducing human-capital formation and long-run growth.
- Kuznets hypothesis: inequality may rise in early stages of development, then fall — links between inequality and growth are complex.
- High inequality associated with political instability, crime and weak institutions.
- Inequality may incentivise effort and entrepreneurship (efficiency argument).
- Evaluation — Bangladesh has a relatively low GINI (0.32) but also low HDI (0.670) and 13.5% living below $2.15/day — low inequality is not sufficient without income growth.
- Evaluation — CO_2 emissions indicate that growth-centric development ignores environmental sustainability.
- Evaluation — HDI already includes education and health, so 'inequality matters more than income growth' depends on how development is defined.
- Evaluation — GINI measures income, not wealth; wealth inequality is typically much higher.
- Evaluation — most robust conclusion: inequality and income growth both matter — policy should target inclusive growth rather than one dimension alone.
- Evaluation — data quality varies across countries; cross-country comparisons should be treated with caution.

Level	Mark	Descriptor
0	0	A completely inaccurate response.
Level 1	1–4	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted, but fail to connect causes and consequences. Limited attempt to address the question.
Level 2	5–9	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.
Level 3	10–15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and competing arguments are present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.
Level 4	16–20	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen and fully integrated to support the argument, well developed and logical, coherent chains of reasoning, showing full understanding of the question. Arguments are fully developed and evaluated. A full awareness of the validity and significance of competing arguments, leading to nuanced and balanced comparisons, judgements or conclusions.

> ***Demonstrating application (AO2):*** *Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus; in addition, they may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus. Where questions do not specifically stipulate the use of data or information provided in a stimulus, students must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question.*

Section C

Question 3

Knowledge/understanding 4, Application 4, Analysis 6, Evaluation 6

- Protectionism includes tariffs, quotas, subsidies to domestic firms, and non-tariff barriers (regulation, standards).
- Higher tariffs raise the cost of cross-border production — e.g. US 100% tariff on Chinese EVs, 25% on batteries.
- Multinationals must redesign supply chains — Apple has moved ~14% of iPhone assembly to India, aiming for 25% by 2027.
- Relocation is capital-intensive and slow: new factories, supplier ecosystems and workforce training take years.
- Loss of economies of scale where production is split across multiple plants, raising unit costs.
- Rising component inventories and duplicated logistics networks increase working-capital requirements.
- Firms may lose access to the most efficient suppliers if forced to source domestically.
- Retaliation risks: Chinese tariffs on US agriculture affect US exporters, which can indirectly hit multinationals' revenues.
- Reduced R&D diffusion across borders may slow innovation rates over time.
- Evaluation — large multinationals have resources to adapt; smaller firms are hit harder and may exit markets.
- Evaluation — Apple's executives admit full relocation is 'not realistic' — Chinese manufacturing ecosystem remains essential.
- Evaluation — diversification improves supply-chain resilience against future shocks (pandemics, geopolitics).
- Evaluation — India's component ecosystem remains underdeveloped; premium-product assembly is still China-dependent.
- Evaluation — short-term cost increases may be passed to consumers (higher prices, lower sales) rather than absorbed as reduced margins.
- Evaluation — depends on PED of final products: Apple's loyal customer base means demand is relatively inelastic, so firms may pass on costs.
- Evaluation — longer-term, decoupling may generate new opportunities (Indian market growth, local retail presence in Mumbai and Delhi).
- Evaluation — overall, protectionism imposes significant costs but is manageable for dominant MNCs; the most damaging effect is the loss of global efficiency gains from specialisation.

Level	Mark	Descriptor
0	0	A completely inaccurate response.
Level 1	1–4	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted, but fail to connect causes and consequences. Limited attempt to address the question.
Level 2	5–9	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.
Level 3	10–15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and competing arguments are present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.
Level 4	16–20	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen and fully integrated to support the argument, well developed and logical, coherent chains of reasoning, showing full understanding of the question. Arguments are fully developed and evaluated. A full awareness of the validity and significance of competing arguments, leading to nuanced and balanced comparisons, judgements or conclusions.

Demonstrating application (AO2): *Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus; in addition, they may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus. Where questions do not specifically stipulate the use of data or information provided in a stimulus, students must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question.*